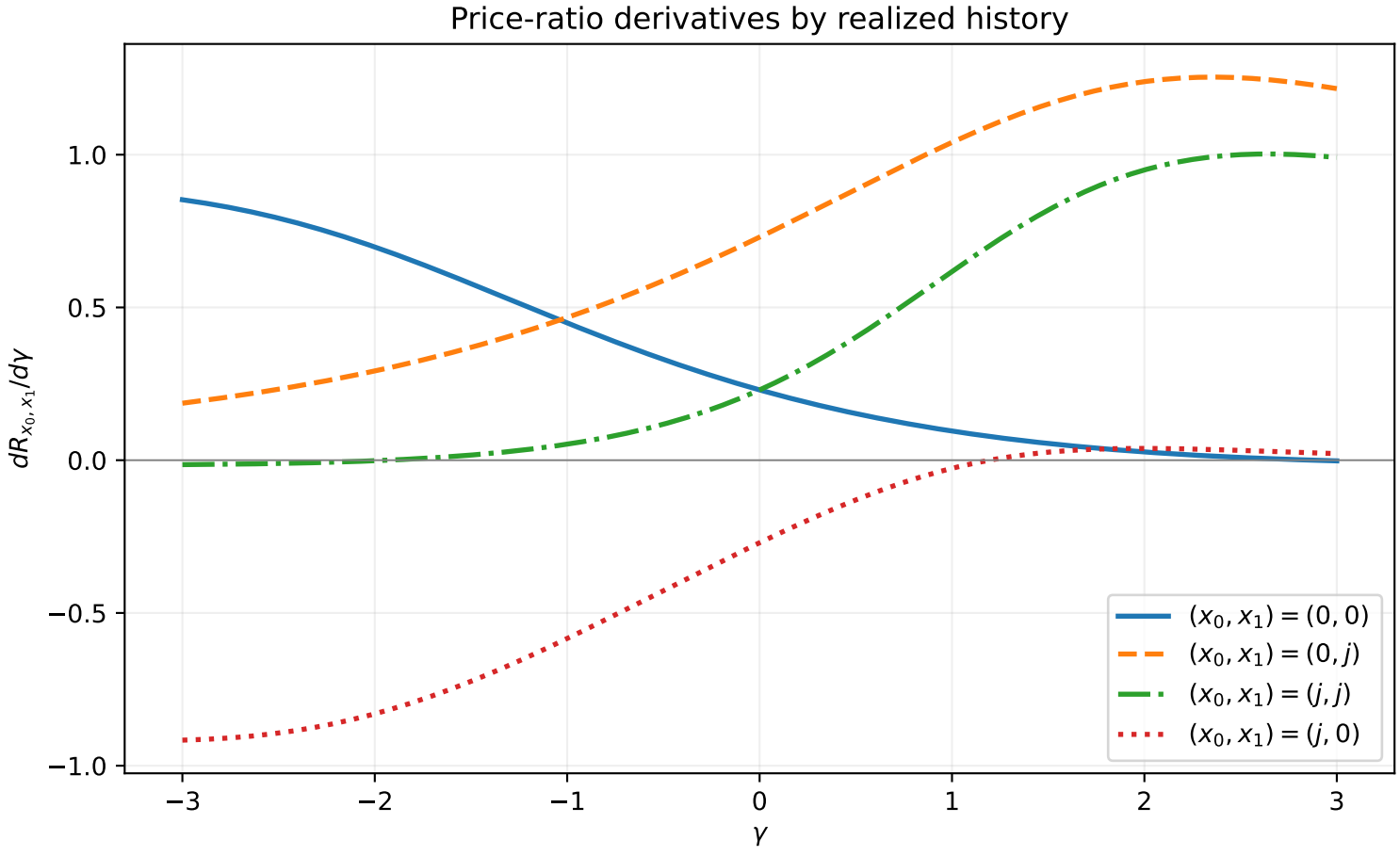
Price-ratio derivatives by realized history
1.0
0.5
0.0
−0.5
−1.0
$dR_{x_0,x_1}/d\gamma$
−3
−2
−1
0
1
2
3
γ
$(x_0, x_1) = (0, 0)$
$(x_0, x_1) = (0, j)$
$(x_0, x_1) = (j, j)$
$(x_0, x_1) = (j, 0)$